

104	2024-01445807	Motion to Enforce Settlement Plaintiff RWC Development, LLC’s motion to enforce the parties’ written settlement agreement is granted. The Court will enter judgment against Defendants in the sum of \$59,703.72, which is the \$234,917.67 settlement amount minus \$190,000.00 already paid, plus prejudgment interest, attorneys’ fees, and costs. Defendants’ request for judicial notice is granted. “A court ruling on a motion under CCP § 664.6 must determine whether the parties entered into a valid and binding settlement. A settlement is enforceable under section 664.6 only if the parties agreed to all material settlement terms. The court ruling on a motion may consider the parties’ declarations and other evidence in deciding what terms the parties agreed to, and the court’s factual findings in this regard are reviewed under the substantial evidence standard. If the court determines that the parties entered into an enforceable settlement, it should grant the motion and enter a formal judgment pursuant to the terms of the settlement. The statute expressly provides for the court to ‘enter judgment pursuant to the terms of the settlement.’” (<i>Hines v. Lukes</i> (2008) 167 Cal. App. 4th 1174, 1182 (internal citations omitted)). This matter settled at mediation on 4/28/25. Pursuant to the agreement, Plaintiff agreed to dismiss and release its claims against the Defendants in exchange for \$234,917.67—which was the amount of Plaintiff’s project damages reflected in Plaintiff’s accounting records produced in discovery—and SRI agreed to dismiss and release its cross-claims against Plaintiff in exchange for a total payment of \$50,000.00 from the insurance company defending the cross-claims against RWC Development LLC. (Kron Decl., Ex. B.) Defendants also agreed to stipulate for entry of judgment against them in the total settlement amount of \$234,917.67, with the stipulation to be filed only if Defendants did not make the settlement installment payments as required. (Kron Decl., Ex. B.) The settlement agreement provides for five installment payments. Plaintiff agreed to forgive the fifth installment payment amount of \$44,917.67 if Defendants made the first four payments on time and in full. (Kron Decl., Ex. B, § 3.6.) The parties do not dispute that this did not happen, as Defendants were late in paying the first two installments. (Kron Decl., ¶¶ 12-13.) Defendants’ third and fourth installment payments were made on time. (Kron Decl., ¶¶ 13- 14.) Defendants defaulted a third time by failing to make the fifth and final installment payment which was due on 12/24/25. (Kron Decl., ¶ 15.) In opposition, Defendants contend that the fifth installment payment is an unenforceable penalty/liquidated damages clause pursuant to Civ. Code, § 1671. They contend that the negotiated settlement amount was \$190,000.00, which was paid (not \$234,917.67). This is not supported by the terms of the settlement agreement or the law set forth in <i>Greentree Financial Group, Inc. v. Execute Sports, Inc.</i> (2008) 163 Cal.App.4th 495. In <i>Greentree</i>, the Court noted that “the judgment would have been enforceable if it had been designed to encourage ESI to make its settlement payments on time...” (<i>Id.</i> at 500.) This appears to be precisely the purpose of the structure of the parties’ settlement agreement here. If Defendants had made timely payments, they essentially would have been given a
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		discount on the settlement amount owed. Contrary to Defendants’ argument, the Court finds that the disputed fifth payment does not operate as an unenforceable penalty. The Settlement Agreement plainly states in Section 3.5 that “Sierra shall pay RWC Two Hundred Thirty-Four Thousand Nine Hundred Seventeen an .67/100 dollars (\$234,917.67) in settlement of RWC’s claims in the Action,” as does the Stipulation for Entry of Judgment in Paragraph 2. Section 3.7 of the agreement provides that if Defendants timely paid the first four installments totaling \$190,000.00, “the remaining balance shall be forgiven and the settlement shall be deemed paid in full.” This provision supports (by the terms “balance” and “forgiven”) Plaintiff’s argument that the settlement amount was not for \$190k as Defendants suggest, but for \$234,917.67. The final \$44,917.57 was not a penalty, but part of the balance of the settlement amount. Accordingly, because Plaintiff demonstrates a valid and enforceable settlement agreement which Defendants breached by failing to make two timely installment payments, and a final installment payment, the motion is granted. Plaintiff shall give notice.
106	2023-01369795 California HOA Collection Services LLC vs. Whitmore	1. Motion - Other 2. Case Management Conference Claimant Jonathan Whitmore (“Claimant”) claims the surplus funds subject to this action. Claimant previously sought the same relief, but the motion was denied without prejudice due to Claimant not submitting an affidavit that addressed the deficiencies noted in the Court’s Minute Orders. At the July 13, 2026 Case Management Conference, the Court set the hearing on this motion after Claimant and the Court discussed Claimant filing this motion nearly a year ago but somehow, a hearing was not scheduled. The unopposed motion by Claimant Jonathan Whitmore (“Claimant”) for claim of the surplus funds subject to this action is granted. Claimant’s notice of motion states the motion is based on the files and records of this case and Claimant’s declaration. (Motion, 2:3-7.) The Court notes that on February 10, 2025, the Court granted the unopposed motion by California HOA Collection Services LLC (“Plaintiff”) to be dismissed and discharged upon deposit of the surplus funds with the Clerk of the Court. Plaintiff deposited the surplus funds on March 14, 2025. Accordingly, Plaintiff was discharged and dismissed. (See, 2/10/2025 Minute Order, ROA No. 56.) The court shall distribute the deposited funds to any and all claimants entitled thereto. (Code Civ. Proc., § 2924j, subd. (j).) The distribution of the funds shall be made in the following order of priority: (1) To the costs and expenses of exercising the power of sale and of sale, including the payment of the trustee’s fees and attorney’s fees permitted pursuant to subdivision (b) of Section 2924d and subdivision (b) of this section.